ramp up their stock price.

Some promoters delayed reporting the pledge transaction to the exchanges by a few days so as to keep bears guessing about the price at which the shares were pledged. But operators like JC had their own informal information network to sniff out the price. This could be through somebody at the broking firm through which the promoter operated his stock, or somebody at the NBFC from which the promoter borrowed money. Once the price was known, it became easier to smash the stock price.

Still, share prices tend to revert to their fundamental value at some point. Just as a bull operator or a bull cartel cannot keep the price of a stock permanently high, bears cannot keep the prices depressed forever. Good quality stocks quickly find buyers in the event of a steep fall. If a stock takes a long time to recover from a bear attack, it is a good indication that the original price was inflated. I must add here that when the overall mood is bearish, share prices can stay subdued for longer than usual.

The bruising decline in stock prices had taken the swagger out of many a promoter, and SEBI too was giving them cause for sleepless nights. In mid-January, Reliance ADAG chairman Anil Ambani and four directors of the group paid Rs 50 crore to SEBI under a consent deal to settle a case of violation of FII regulations and overseas debt norms. This was the highest consent fee paid by any corporate group to SEBI so far. In the course of investigating a couple of suspicious P-note transactions by two FIIs, the regulator came across evidence that the funds raised by R-ADAG firms (later merged with Reliance Power) through external commercial borrowings and foreign currency convertible bonds were being invested in the Indian stock market. Under the consent deal, R-ADAG firms Reliance Infra and Reliance Natural Resources were barred from accessing the capital market for two years.

No corporate group now seemed beyond the reach of SEBI, which in its early days had been ridiculed with uncharitable monikers such as ‘paper tiger’ or ‘toothless watchdog’. In July, SEBI dealt another blow to the market players to keep them on the straight and narrow, this time busting the business model of many broking firms that thrived on helping clients evade income tax.

These brokers would charge 5-6 per cent commission for providing fictitious profits/losses to their clients. This was not a bad deal for tax